

Minimum Wages and Wage Regulations

Labor II — Week 7

Teaching deck draft

Central question and course repositioning

- What do wage floors and related wage laws do to wages, employment, hours, turnover, and reallocation?
- Week 7 is the policy sequel to Week 6: minimum wages test whether the competitive benchmark is the right organizing model.
- Week 8 will then ask how legal floors interact with unions, bargaining, and worker voice.

Week 6 to Week 7 bridge

- Week 6: firms may face finite labor supply to the firm.
- Week 7: if firms have wage-setting power, a wage floor need not reduce employment one-for-one.
- The policy question is not only “do jobs fall?” but which margins adjust and under what institutions.

Competitive versus monopsony predictions

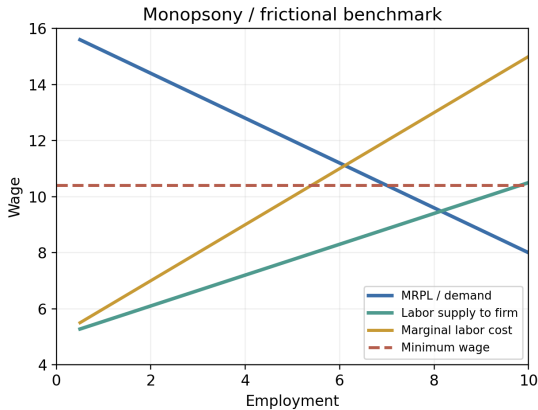
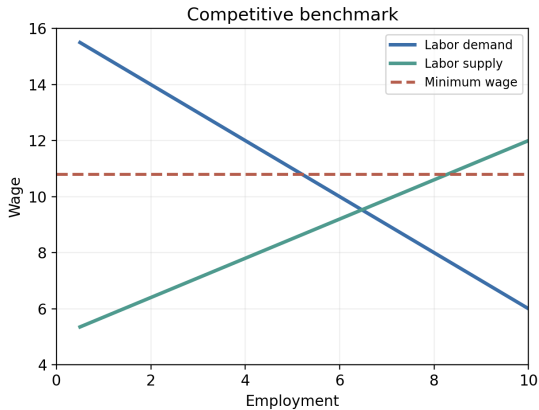
$$N_t = D(w_t), \quad w_t = \max\{w_t^*, \bar{w}_t\}$$

$$N(\bar{w}) = S_f(\bar{w}), \quad \text{for } w^m < \bar{w} < w^c$$

- Competitive benchmark: binding floor raises wages and lowers employment.
- Monopsony benchmark: a floor can raise wages with small employment losses or even higher employment over a range.
- The sign of the employment effect is empirical, but the mechanism is not theory-free.

Theory picture

Minimum wages under different labor-market structures

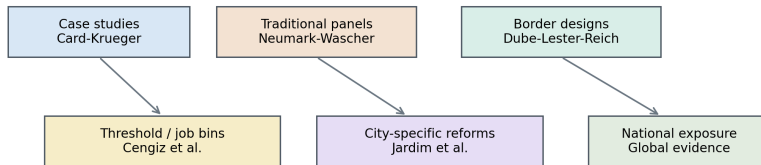


What exactly is the employment debate?

- Card-Krueger turned the issue into a design problem with a treated sector and explicit comparison group.
- Neumark-Wascher emphasized broader panels, trend heterogeneity, and sensitivity to specification.
- Dube-Lester-Reich tightened local comparisons with border counties.
- Cengiz-Dube-Lindner-Zipperer changed the outcome object to low-wage jobs around the threshold.

Employment-debate landscape

The employment debate is a map of designs and margins, not one number



Why papers can disagree:

- Different comparison groups
- Different employment objects
- Different horizons
- Different treatment intensity
- Different local versus national institutions

Why papers can disagree without studying different policies

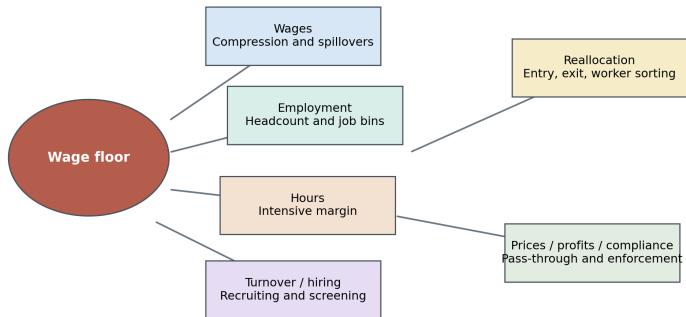
Design	Unit	Margin observed	Main latent object
Case study	Establishment	Sector jobs	Untreated local counterfactual
Border design	County pair	Local employment, wages	Remaining local shocks
Event study	Region-time	Dynamic jobs, hours, prices	Parallel-trends path
Wage bins	State-bin panel	Jobs below and above floor	Reclassification versus net jobs
National exposure	Worker / firm / region	Wages, inequality, reallocation	Untreated exposure path

Modern evidence: separate the margins

- Wages: robust gains and compression near the floor.
- Jobs: low-wage job counts may fall even when total employment barely moves.
- Hours: intensive-margin cuts can matter, especially after large local hikes.
- Turnover and hiring: higher wages can reduce quits but raise screening standards.
- Reallocation: some adjustment occurs through firm exit, entry, and worker sorting.

Adjustment margins under wage floors

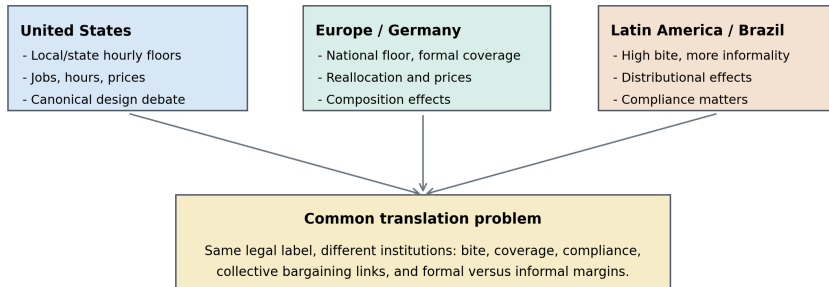
Adjustment under wage floors is multi-margin



- United States: staggered local and state policy changes, strong wage effects, debate over jobs, hours, and design.
- Germany / Europe: national or broad formal-sector reforms, more focus on reallocation, prices, and composition.
- Latin America / emerging markets: informality, compliance, and distributional incidence become central.
- Global evidence is about institutional heterogeneity, not just more estimates.

Global map

Global evidence broadens the institutional environment, not just the sample size



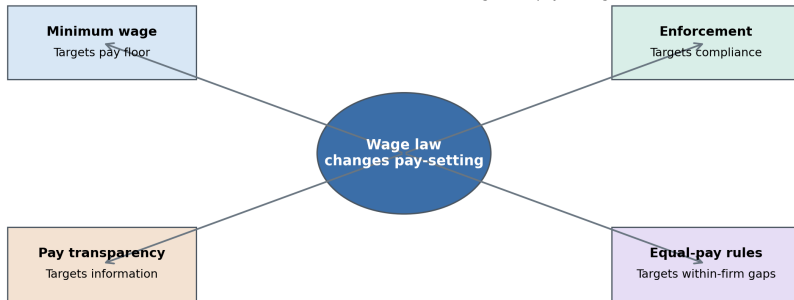
Wage law beyond minimum wages

- Minimum wage: direct legal floor on pay.
- Enforcement and inspections: whether the legal rule actually binds in practice.
- Pay transparency: information shock to bargaining and wage-setting.
- Equal-pay rules: restrictions on within-firm pay differentials for similar work.
- Keep the object straight: each rule targets a different wage-setting friction.

Wage-law toolkit

Minimum wages sit inside a broader wage-law toolkit

Different rules shift different frictions but all belong to the pay-setting block.



Empirical designs and what they identify

- Border or local comparison designs: policy variation across nearby markets; local wages and employment; remaining local confounds.
- Stacked event studies: treatment timing across regions; dynamic outcomes; pre-trend risk.
- Threshold-based job-distribution designs: wage bins around the floor; low-wage job counts; spillover and relabeling issues.
- National exposure designs: heterogeneous bite across workers or firms; wages, inequality, reallocation; exposure endogeneity.
- Enforcement and disclosure designs: inspections or rules; compliance and wage compression; measurement changes alongside behavior.

Treatment intensity and compliance

$$K_{rt} = \frac{\bar{w}_{rt}}{\text{median}(w_{rt})}$$

$$w_{it}^{obs} = (1 - \theta_{it})w_{it}^{rule} + \theta_{it}w_{it}^{noncomp}$$

- The nominal increase is not the same thing as policy bite.
- Observed incidence can differ from legal incidence when compliance is incomplete.

- Link minimum-wage evidence to own-wage elasticities and monopsony measures.
- Track spillovers above the floor, not only the exact threshold.
- Measure hiring standards, automation, and worker-firm reallocation.
- Compare local hikes with national reforms.
- Use new worker-firm and compliance data to connect wage law to sorting.

- Week 7 studied legal wage floors and adjacent wage laws.
- Week 8 asks what changes when wage determination is mediated by unions, bargaining structures, and worker voice.
- The transition question is how decentralized legal rules interact with collective institutions.

- Minimum wages test labor-market structure, not only labor-demand slope.
- The modern literature separates wages, jobs, hours, turnover, and reallocation.
- Different designs can disagree because they identify different margins under different institutions.
- Wage law extends beyond minimum wages to enforcement, transparency, and equal-pay rules.

Appendix: lab bridge

- Reproduce: Cengiz-style grouped wage-bin panel.
- Diagnose: Dube-Lester-Reich-style border design and what its counterfactual is.
- Transfer: optional Engbom-Moser-style national exposure design with bite and reallocation.
- Keep the employment object, treatment intensity, and identifying variation separate in every step.